IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

I.A.No.256/18, I.A.No.237/18 and I.A.No.238/18
IN
CA(CAA)NO.9/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION
IN THE MATTER OF
DSRK HOLDINGS (CHENNAI) PRIVATE LIMITED (TRANSFEROR COMPANY)
WITH
EMBASSY PROPERTY DEVELOPMENTS PRIVATE LIMITED (TRANSFEREE COMPANY)

Order delivered on: 28.09.2018

Coram: Hon'ble Shri Rajeshwara Rao Vittalana, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): P.Sriram & Associates
Practising Company Secretary
10/17, Anandham Colony, South
Canal Bank Road,
Mandaveli, Chennai-600028

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Embassy Property Developments Private Limited
I Floor, Embassy Point,
#150, Infantry Road,
Bengaluru-560001

ORDER

1. I.A.No.256/18, I.A.No.237/18 and I.A.No.238/18 in CA(CAA) No.9/BB/18 is filed by the Applicant Company, under Rule 34(3) and Rule 11 of NCLT Rules, 2016 by inter-alia seeking to condone the delay of 110 days and issue fresh directions for holding of meeting of Equity Shareholders, Secured Loan Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors, To issue and publication of notices in "Hindu" and "Kannada Prabha" for convening, holding and conducting of the meetings of Equity Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the Applicant Company as proposed above as contemplated under Section 230(3) to (6) &

Section 232(1) of the Companies Act, 2013 read with Rule 5 of the rules, To fix the time and venue for the meetings of the Equity Shareholders, Secured Loan Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the Applicant Company, To fix Quorum for the meeting and the procedure to be followed for the meetings including voting in person or by proxy or by voting through electronic means as contemplated under Section 108 of the Companies Act, 2013 and Rule 20 of Companies (Management & Administration) Rules, 2014.

2. Heard Sri. P. Sriram, Learned PCS for Applicant Company. The Learned PCS has submitted that the Transferor Company had submitted Application to National Company Law Tribunal, Chennai Bench on 8th February, 2018 under Section 230-232 of the Companies Act, 2013. The Hon'ble Bench vide order dated 15th March, 2018 had issued directions to hold meetings of Shareholders and Unsecured Creditors.
3. The Learned PCS further stated that subsequent to the filing of application and issue of orders by the Tribunal in the case of the Transferor Company, there was a substantial change in the shareholders of the Transferor Company. By the time the Board of Directors gave effect to the transfer of shares in the Transferor Company. In lieu of the changes in the shareholding of the Transferor Company, the Board of Directors at their meeting held on 11th May, 2018 passed a resolution for withdrawal of the Application filed by National Company Law Tribunal, Chennai Bench and file a fresh Company Application with the updated list of Shareholders and Creditors.
4. The Learned PCS stated that due to structural changes in the Transferor Company, the Transferee Company was not in a position to call for the meetings of shareholders and Creditors on the dates fixed by the Hon'ble National Company Law Tribunal, Bengaluru Bench. The Applicant Company is seeking for condonation of delay for not holding the meetings.
5. We have considered the pleadings of the party, and also perused the materials placed on record. I.A.No.256/18, I.A. No.237/18 and I.A. No.238/18 are allowed by condoning the delay of 110 days for not holding the meeting of Equity Shareholders, Secured Loan Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the Applicant Company/Transferee Company.
6. Accordingly the Petitioner Company is directed the following:

(a) The meeting of the Equity Shareholders of the Applicant Company be convened and held at I Floor, Embassy Point, #150, Infantry Road, Bengaluru-560001 on Monday the 12th November, 2018 at 11:00 A.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of DSRK Holdings (Chennai) Private Limited (Transferor Company) with Embassy Property Developments Private Limited (Applicant/Transferee Company).

(b) Mr. Manjunath S is appointed as Chairperson and Mr. Vinay B L, Company Secretary in Practice as Scrutinizer for the Meeting of Shareholders. The remuneration of Chairperson and Scrutinizer is fixed at Rs.50,000/- and Rs.35,000/- respectively for convening the meeting of Shareholders. The quorum for the Meeting of Shareholders is two as proposed by the Applicant Company. The Notice of the Meeting of Shareholders shall be published in an English Daily "The Hindu" and in Kannada Daily "Kannada Prabha".

(c) The meeting of the Secured Creditors of the Applicant Company be convened and held at I Floor, Embassy Point, #150, Infantry Road, Bengaluru-560001 on Monday the 12th November, 2018 at 12:00 Noon for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of DSRK Holdings (Chennai) Private Limited (Transferor Company) with Embassy Property Developments Private Limited (Applicant/Transferee Company).

(d) Mr. Manjunath S is appointed as Chairperson and Mr. Vinay B L, Company Secretary in Practice as Scrutinizer for the Meeting of Secured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.50,000/- and Rs.35,000/- respectively for convening the meeting of Secured Creditors.The quorum for the Meeting of Secured Creditors is two as proposed by the Applicant Company. The Notice of the Meeting of Secured Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Kannada Prabha".

(e) The meeting of the Unsecured Loan Creditors, Un-Secured Trade creditors of the Applicant Company be convened and held at I Floor, Embassy Point, #150, Infantry Road, Bengaluru-560001 on Monday the 12th November, 2018 at 2:00 P.M., and 3-00 p.m. respectively for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of DSRK Holdings (Chennai) Private Limited

(Transferor Company) with Embassy Property Developments Private Limited (Applicant/Transferee Company).

(f) Mr. Manjunath S is appointed as Chairperson and Mr. Vinay B L, Company Secretary in Practice as Scrutinizer for the Meeting of Unsecured Loan Creditors of Un-Secured Trade creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.50,000/- and Rs.35,000/- respectively for convening the meeting of Unsecured Loan Creditors. 4 Un-Secured Trade Creditors. The quorum for the Meeting of Unsecured Loan Creditors is two as proposed by the Applicant Company. 4 for Un-Secured Trade Creditors is 15. The Notice of the Meeting of Unsecured Loan Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Kannada Prabha".

(g) The Applicant Company or its authorized signatory is directed to issue notice(s) to Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of Applicant Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of scheme of amalgamation, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

(h) The Applicant Company is directed at least 30 clear days before the Meeting of the Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the Applicant Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Arrangement and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

(i) The Applicant Company to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5)

of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(j) The Applicant Company to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(k) The Applicant Company to serve the notice upon Pr.CCIT, Karnataka & Goa, Designated Nodal Officer of Income Tax Department along with PAN pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(l) The Applicant Company to serve the notice upon the other Sectoral Regulators or Authorities if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(m)The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

(n) The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

(o) The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

(p) The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(q) In any eventuality when the Applicant Company approach this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Arrangement to put forth their contentions before the Tribunal.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

Sirisha